

TO THE WORLD

OUTSIDE, the Chennai-based Murugappa Group is known for its quiet efficiency. The conglomerate runs many businesses and is on a constant quest to move into new business areas in a country with opportunities aplenty.

At the helm of three key group companies—Tube Investments of India, CG Power and Industrial Solutions and Cholamandalam Investment and Finance Company—sits Vellayan Subbiah. A fourth-generation member of the founding family, he is known for his turnaround prowess, among other things. In an interview with BT, Subbiah, who has been adjudged the Business Icon of the Year in the BT-PwC India's Best CEOs list, talks about the challenges in running diversified businesses and the reason the group dove into semiconductors.

Edited excerpts:

►►►

A lot has happened in your businesses over the past 18 to 24 months. What are some of the things you got right from a strategic perspective?

If we look at it a little closely, there are certain principles and a basic understanding that have evolved over time; and, to be honest, they are still evolving.

Let's take Tube

Investments of India for example. Usually, I like containing a problem down to a finite set of controllable variables. In 2018, we started a transformation exercise, and I clearly outlined that it had to grow around four parameters.

Here it was revenue growth, profit before tax to sales, and free cash flow to profit after tax. I am quite obsessed with free cash flow, it is easily the most impor-

me that it was important to separate a free cash generation engine from a capital allocation engine. We then started the process of separating the two and it turned out to be an important discipline to establish.

At TI, what really happened was that the auto cycle had turned. As long it was doing well, we had revenue growth, but with the cycle turning there was pressure on revenue. What we

tunity and an effective way to employ capital.

The next part of that story is unfolding now with CG Power generating a lot of cash. We are asking ourselves, "How do we allocate that?" It is just a way to look at opportunities for the future.

Our forays into newer areas in terms of technology, semiconductors started off after the outbreak of the Covid-19 pandemic.

SEMICONDUCTORS ARE BECOMING A NATIONAL PRIORITY. WE NEED TEN MORE COMPANIES TO JOIN IN THIS EFFORT

| 41

tant component. Many people say, "Revenue is vanity and profit is sanity." To me, it's actually free cash flow that is a more relevant measure for manufacturing companies. The fourth parameter is return on invested capital, or return on capital employed.

►►►

How well did that play out at TI?

These metrics were set in place. However, focusing just on free cash flow was not letting us keep revenue growing at a desired level.

That's when it struck

realised was that in a cyclical business you can get caught when the industry goes through a rough patch, and that is a not a sustainable position over the medium-term. It became clear to us that we had to allocate capital somewhere outside the sector and diversify.

►►►

That was the trigger for the acquisition of CG Power, right?

Yes, it really came out of TI's position at that point, and was driven by the desire to allocate capital elsewhere. CG Power was a good oppor-

Plus, the government has been very supportive and to us, it is quite clear that these are the areas to invest in.

►►►

Where do you see the big opportunity in semiconductors at this stage?

The semiconductor value chain has three parts to it. One is the design and chips themselves, followed by the fabs that make the wafers. The third part is the OSAT (outsourced semiconductor assembly and testing). I think all three are required. This is also a way to get